Vardhman Special Steels Ltd

Concall Tracker · Q2 2027 (quarter ended Sep 2026) · NSE: VSSL · BSE: 534392 · Prepared 11 Nov 2026

1. Snapshot

What the business does: Vardhman Special Steels makes special and alloy steel bars and rods at one plant in Ludhiana, Punjab. Car, two-wheeler, tractor and bearing makers and their forging suppliers (Toyota, Maruti, Hyundai, Hero, Bajaj, Caterpillar and others) turn these bars into gears, crankshafts and axles. Aichi Steel, a Toyota group company, owns 24.9% and gives technical help. It earns money per tonne sold, so volume and the margin per tonne are what count.

Market cap	₹3,653 cr at ₹377 a share. A small-to-mid cap.
P/E	22.7x. Buyers pay about ₹23 for each ₹1 of yearly profit, full for a steel maker but it's a specialty one.
Revenue	FY26 ₹1,754 cr, flat for three years; trailing twelve months ₹1,975 cr as sales picked up sharply this year.
Net profit	FY26 ₹122 cr; trailing twelve months ₹161 cr. Profit is moving up faster than sales.
Operating margin	12% in the last two quarters vs 7-10% a year earlier. Out of every ₹100 of sales about ₹12 is now operating profit.
Debt	Borrowings ₹163 cr (Sep 2026) vs ₹93 cr in March, but the CFO says that's an accounting reclassification of bank-discounted bills; taken with suppliers, debt fell. Low against ₹1,339 cr of net worth.
Returns	ROCE 15.3%. About 15 paise of operating profit per rupee of capital, held back by cash from Aichi's investment still waiting to be spent.

2. Concall coverage

Quarter	Call date	Read?
Q3 FY24 → Q3 FY26 (9 calls)	Feb 2024 → Jan 2026	Skimmed for promises and guidance
Q4 FY26	May 2026	Skimmed
Q1 FY27	Jul 2026	Deep-read
Q2 FY27	28 Oct 2026	Deep-read in full ★

Twelve calls over about three years, all from NSE filings (Screener's copy was slow to download). The company holds a call every quarter, so the consistency read is solid.

Latest concall highlights: Q2 FY27 (28 Oct 2026)

- **Record quarter.** 70,440 tonnes sold, up 27%; revenue ₹600 cr, up 39%; profit ₹52 cr, up 52%. Demand came from small cars and two-wheelers after last year's GST cut, plus tight steel supply after a rival's shutdowns, which let it push prices up two quarters running.
- **Margin per tonne at the top of the range.** EBITDA per tonne (operating profit per tonne of steel) ₹11,346. The CMD warned not to treat it as normal: some was cheaper raw material bought earlier, and a GST refund incentive that **ended in August 2026**. Guidance stays ₹9,000-12,000 a tonne.
- **New wins.** A European carmaker finally approved its steel and mass production started; a large import-substitution grade for an Indian customer is approved, with sales from January 2027.
- **Big plant, bigger bill.** The new 5 lakh tonne greenfield plant will cost more than the ₹2,000 cr planned (land, a weaker rupee, freight and metals). Finished by Sep 2029. To pay for it: debt up to one times equity, a rights issue in the second half of 2027, and the board may suspend dividends for three to four years.
- **Volume guide:** about 2.6 lakh tonnes for FY27, the top of its budget. The plant is full; more needs an environmental approval for 3.6 lakh tonnes of melting, which a committee has recommended.

2c. Business mix & capacity

Domestic vs export: about 6-7% exported directly and another 6-7% indirectly via Aichi's trading arm, so roughly seven-eighths of sales are in India. **Capacity:** running full at the 3 lakh tonne melting limit set by its environmental approval (2.7 lakh tonnes of rolled bars). A new peeling line (Nov 2026) and testing line (Dec 2026) add flexibility, not tonnes.

3. Earning-trigger thesis

For two years the story has been **moving up the value chain with Aichi**: better grades that replace Japanese imports, entry into European carmakers, a forging plant with Aichi (parts, not just bars) from early 2028, and a new 5 lakh tonne plant by 2029 that roughly doubles capacity. Today's profit jump is mostly a strong price cycle on a full plant plus a cost-saving rolling block installed last year. That part can fade. The lasting growth needs new tonnes: a small step if the 3.6 lakh tonne approval comes, then forging in 2028, then the big plant. Those are real but two to four years out, and the big plant will dilute shareholders through a rights issue.

Trigger	What management said	Evidence so far	Horizon	Strength
Price and margin cycle	₹9,000-12,000 per tonne guide; price hikes for Q3 being negotiated	₹11,346 per tonne in Q2, 12% margin	Now	Strong but cyclical
Better grades, new customers	European OE approved; import-substitution grade from Jan 2027	Approvals in hand; sales just starting	FY27-28	Moderate
Capacity to 3.6 lakh tonnes	Committee recommended; about a year after approval	No letter yet	FY28	Unproven
Forging plant with Aichi	Production by Mar 2028; cost below ₹475 cr	Foundation stone laid Jul 2026	FY28+	Moderate
Greenfield 5 lakh tonne plant	Done Sep 2029, stable Mar 2030; cost above ₹2,000 cr	Land and equipment chosen; environmental filing by Dec 2026	FY30	Unproven, dilutive

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt will rise: plant funded at up to 1:1 debt to equity (Oct 2026)
New business	Yes	"Finally received the approval from the European OE. Mass manufacturing for that has started"; forging unit with Aichi (Oct 2026)
Margin up	Yes	"Our EBITDA per ton is on the highest part of our range", from price hikes and the Kocks block capex (Oct 2026)
New management	No	Same CMD and CFO; a Japanese Aichi executive will head the forging division (May 2026)
New capacity	Yes	Forging plant by Mar 2028; greenfield plant by Sep 2029; 3.6 lakh tonne approval pending (Oct 2026)
Big orders	No	No order book; quarterly price contracts
Turnaround	No	n/a
Promoter buying	No	Partner Aichi bought in at 24.9% in 2025; promoters were diluted, not buying

Single concrete driver: higher-grade steel for Aichi, Toyota and now a European carmaker, with a forging plant from 2028 and a new plant that doubles capacity by 2029.

3c. Margin bridge

Operating profit per tonne is about ₹11,300 now vs about ₹10,000 a year ago and ₹8,600 for H1 FY26. Why: two rounds of price hikes on tight supply, cheaper raw material carried from the prior quarter, savings from the new Kocks rolling block and reheating furnace, and a bigger GST refund. Management calls the cost savings lasting but the inventory gain and the top-of-range level not; the GST refund ended in August 2026. (partly one-off)

4. Management consistency scorecard

Period	What was promised	What happened	Verdict
May 2024	Raise per-tonne guide to ₹8,000-11,000 (FY26), ₹9,000-12,000 (FY27)	Done; FY27 running at the top end	Delivered
2024	Exports to Aichi's Asian forging units grow	"A little below expectation"; exports stuck around a tenth of sales	Partly
Nov 2024	Hit 3 lakh tonnes, then seek a higher approval	Running full; applied for 3.6 lakh tonnes, recommended	Delivered (approval pending)
Feb 2025	Win a large European carmaker	Approved and in mass production by Oct 2026	Delivered (slowly)
Apr 2025	Greenfield plant at about ₹2,000 cr	Cost now higher, details by Apr 2027; equity rights issue added	Partly
Jan/Jul 2026	Forging plant start in early 2028	On schedule, cost below budget	On track

Narrative drift: little. The Aichi-led quality story has been the same for three years and keeps showing up in approvals and margin. Sachit Jain is careful: he plays down a record quarter and refuses to guess the new plant's cost. The one shift is funding: more debt, a rights issue and maybe no dividends for years, which changes the deal for small shareholders.

5. Bottom line: two verdicts

Durable earning trigger? → YES

The quality upgrade with Aichi is real and keeps paying: European approval, import-substitution grades, margins at the top of the range. Near-term profit is flattered by a price cycle and an incentive that just ended, so expect some cooling; the next big step in tonnes is 2028-29.

Management consistent? → YES

Guidance on margin per tonne was raised and met, capacity hit its cap as promised, and the European win landed. Slips are small: Aichi exports lagged, and the greenfield cost has gone up.

6. Checkpoints for next quarter

- EBITDA per tonne stays inside ₹9,000-12,000 without the GST refund
- Import-substitution grade sales start in January as promised
- Environmental approval for 3.6 lakh tonnes is received

Not investment advice. Do your own due diligence. Sources: Screener.in financials; 12 concall transcripts, the Q2 FY27 media release and investor deck, all from NSE filings.